Paper / Subject Code: N59383 / Forex (Foreign Exchange Rate Management and Derivatives)

MIOM sem IV
MGP 2020.
3/7/25.

Time: 2 Hours **Total Marks: 50**

NB:
1. **All Questions are compulsory and subject to internal choice.**
2. **Figures to the right indicate full marks.**
3. **Q.1 carries 14 marks & other Questions carry 12 marks each**
4. **Make suitable assumptions wherever required and state them.**
5. **Use of simple calculator is allowed.**

Q1. (a) Calculate forward rates for USD/INR for various maturities. **(07)**

Sport USD/ INR=70.8000- 70.9000

1 months forward margin	2100-2000
2 months forward margin	2300-2200
3 months forward margin	2500-2400
4 months forward margin	2600-2550

Q1. (b) Calculate Arbitrage gain for GBP/ CAD quotation with 10, 00,000 GBP. **(07)**

GBP/CAD= 1.6858- 1.6868
GBP/CAD= 1.6898- 1.6908

OR

Q1. (c). Explain the features of FOREX Market. **(07)**

Q1 (d). Difference between Retail Market and Wholesale Market **(07)**

Q2. (a) Calculate AUD / EUR rate and EUR / AUD rate. Also write for every quotation, in which country it is direct rate and indirect rate. **(12)**

GBP/EUR 1.2700/1.2750
GBP/AUD = 1.8100 / 1.8150

OR

Q2. (c). Explain the Fundamental Hedging Principles in details. **(06)**

Q2. (d). Difference between Direct Rate and Indirect Rate. **(06)**

Q3. (a) Classify the below mentioned companies into various NIFTY Segments **(06)**

i. HDFC Ltd
ii. HCL Ltd
iii. Bajaj Auto Ltd
iv. Eicher Motors
v. Punjab National Bank
vi. Tech Mahindra

Q.3 (b) Calculate Market Capitalization by Free float method for each company (06)

Name of the company	Authorized Capital (Rs.)	Issued Capital (No. of shares)	Face value per share (Rs.)	Market Value per share (Rs.)
ABC Ltd	500 crores	25,00,000	2000	2500
PQR Ltd	100 crores	35,25,000	200	1200
XYZ Ltd	15 crores	60,00,000	20	500

OR

Q3. (c) Explain the types of Indices (06)

Q3. (d) Write a note on SENSEX. (06)

Q4. Write a short note: (any 2) (12)

a. Participants of derivative market
b. Financial derivatives
c. Indian Derivative Market
